

Lynch has said, "I spend about fifteen minutes a year on economic analysis. The way you lose money in the stock market is to start off with an economic picture." Market levels simply have little to do with whether the economy is up 3 percent or down 1 percent. They have a great deal to do with cash flow into and out of markets. Every study shows that the stock market is a reliable lead indicator of where the economy is headed, but it's no help trying to look at events the other way around. The economy fluctuates, providing average growth of about 2.5 percent per year in recent times, and, in terms of investment policy, that's about all you can say about it. There is certainly no point in waiting for the economy to grow at a faster rate. You simply have to buy stocks you believe in because you think you've found people who have an important reason to be in business, and then you have to stick with them as long your faith in them remains.

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But nothing seems to stop people from trying to call the market's direction. I sometimes think they are less interested in making money than they are in proving their brilliance. "The market has a will of its own, does it? Very well, I'll tame it and show who's boss." It's a silly challenge. When the market's going down, it's not because you are stupid. And when it's going up, it's not because you are smart.